

Federal Maritime Commission

CROCUS INVESTMENTS, LLC,
CROCUS, FZE

Complainants

v.

MARINE TRANSPORT LOGISTICS, INC.,
ALEXANDR SOLOVYEV,
ROYAL FINANCE GROUP, INC.

Respondents

Docket No. 15-04

RESPONDENTS' REPLY TO EXCEPTIONS

The focus of these proceedings is now only on the Formula boat. As the Initial Decision on Remand stated: “On June 17, 2016, an initial decision dismissed the claims regarding all three boats... the Commission vacated and remanded the claim regarding the storage or other arrangements for the third boat, the Formula, and affirmed the initial decision in all other respects.” (*See* page 1).

To establish a violation under 46. U.S.C §41102(c), it is necessary to determine whether MTL engaged in a “practice” of a complained conduct. As the Commission stated in *Stockton Elevators*: “The essence of practice is uniformity. It is something habitually performed and it implies continuity...the usual course of conduct.” 3 S.R.R. 605 (FMC 1964).

The Chief Administrative Judge properly found in the Initial Decision on Remand: “The evidence of record does not support a finding that any unjust and unreasonable acts by

Respondent extended beyond these two instances involving one car in *Best Way* and the boat at issue in this proceeding.” (See page 21).

The shipment in *Best Way* was in 2007, almost 14 years before the present case, and even though the ALJ found that the storage charge for the one boat at issue (Formula boat) in these proceedings was “unjust and unreasonable”, the ALJ wrote: “No justification is provided for the higher charge...”

However, it is respectfully being submitted, that the justification for that particular boat is found in the fact that the size of the Formula boat was much greater than any of the other subject boats for which the storage charges were within the range of MTL’s tariff. (See Complainant’s Exhibits at “CX107). It is because of the size of the Formula boat, that it was necessary to bill for each linear meter at \$9.60 per linear meter (Exhibit “1”), which was multiplied by 10.97 linear meters. The other boats were smaller and not billed at a linear meter as their size was standard. *Id.*

As the Complainant, Mr. Safonov of Crocus stated during his deposition on December 3, 2015: “And we know that, because Formula boat is bigger – is more than 24 feet. So there is no shipping container as is to put it in.” (See Respondent’s Appendix filed with the Commission on February 11, 2016 under Docket No. 15, at RX72).

Additionally, the storage of the subject boats was not done by MTL but by World Express & Connection, INC. (See Appendix CX 261-266 of Respondents’ Proposed Findings of fact filed in February of 2016). World Express and Connection is the Plaintiff in a separate matter in the New Jersey Federal Court, seeking to collect storage charges for the subject Formula boat (Docket No. 2:15cv08126).

Furthermore, the MTL's tariff rate applies only to boats received by MTL for US export shipment. *Id.* at CX 178. However, Complainants decided not to export the boat abroad (*see below*).

One of the cases on which the Commission relied in restoring the scope of Section 41102(c) of the Shipping Act is *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416 (ALJ 1962).¹ This case involved a refusal by a regulated entity to refund an overpayment for demurrage.

The Commission noted in *Altieri*: "It has been held, to give another example, that claims for loss, of or damage to cargo or for damage due to failure to follow routing instructions do not fall within the Act." (Citing *Pilgrim Furniture Co, Inc., v. American-Hawaiian Steamship Co.* 2 U.S.M.C. 517 (1941). *Id.* at 419.

The Commission is respectfully being referred to the part of the Complaint that alleges exactly what the *Altieri* decision said would not fall under the Commission's jurisdiction, namely failure to follow routing instructions. Paragraph 20 of the Complaint states: "In February 2014 when MTL has still not made any shipments of the boats, Complainants contacted MTL, and requested that MTL reroute the shipment of all three boats to Florida, USA."

Furthermore, Complainants mislead the Commission — as they always do by dumping indiscriminately unsubstantiated allegations into their briefs — with the following statement that is found in their exceptions brief at page 29: "To date, MTL still failed to offer any reasonable explanation as to why, after allegedly having met its responsibility to find a suitable boat trailer... why MTL retained possession of the Formula and did not export it between December 4, 2013 and February 14, 2014."

¹ This, and a similar line of cases, is found under Docket No. 18-06.

The answer to this question is found in the testimony of the Complainant, Mr. Safonov of Crocus, where it is Mr. Safonov that instructs not to export the boat out of the United States:

Q. Did you ever tell Mr. Solovyev not to export the Formula boat to Dubai?

A. Later in December or January, I e-mailed. It was the year of 2014. I wrote to him not to do this, not to transport it. (See Respondent's Remand Opposition Brief, page 8, Exhibit 2 at page 76, lines 4-9).

Complainants mention the *MAVL* litigation but they do not mention that such resolved in MTL's favor in both Federal Court (Docket No. 1:13cv07110) and Court of Appeals (Docket No. 18-1197) and is also pending before the Commission under Docket No. 16-16; however, that litigation involved charges for storage within MTL's tariffs, so it cannot be said that MTL has a practice of imposing unreasonable storage charges based on one oversized Formula boat. (Exhibit "2").

On page 50 (paragraph "V") of their exceptions brief, Complainants mislead the Commission by stating "the complainants decided that respondents were 'crooks', complainants decided to reroute their cargo to Florida." However, it is submitted that when Mr. Safonov says "crooks" he does not mean Mr. Solovyev (and therefore cannot mean MTL) because he is instructing Mr. Solovyev to take certain action. By "crooks" Mr. Safonov is referring to his own employee Andrey Trtiyakov, but how is this related to MTL?² There is no evidence to suggest that MTL ratified any dealings between Mr. Solovyev and Mr. Tretiyakov.

² The Commission is respectfully being referred to the following portions of Mr. Safonov's deposition as part of the New Jersey Federal Court matter where it is clear that Mr. Tretiyakov was much more to Mr. Safonov than an employee — Mr. Safonov's partner was Oleg Bartsov, the son of Andrey Tretiyakov. (See Respondent's remand opposition brief, Ex. 2, pp. 10-12).

Crocus also contends (on page 23 of their exceptions brief) that the \$8,400 amount was paid towards the shipping of the Formula boat, but that is not true. According to MTL's accounting department, this sum was not for loading and shipping of the Formula boat but rather a different boat. (See Exhibit "3").

Complainants argue on page 10 of their brief that RFG paid Light House Transport \$2,230 for delivery of the Formula boat to MTL's warehouse and invoiced complainants \$3,500 for the delivery, and because of such, complainants claim the difference in payment and RFG's invoice is an overcharge to complainants.

This is not an allegation against MTL but RFG – the case against RFG was dismissed. As the Initial Decision determined on June 17, 2016, Aleksandr Solovyev is the "sole owner, officer, and director of the owner of respondent Royal Finance Group, Inc. ALJFF 20. Complainants also do not explain why RFG cannot make a profit for their services. In any case, RFG is not a regulated OTI. In any event, this allegation goes to the one and only boat and cannot be held to impose a "practice" on MTL.

On the issue of title for the trailer of the Formula boat, it is submitted that pursuant to 19 CFR Part 192, Section 192.1, such definitions do not include trailer in the definition of a self-propelled vehicle.

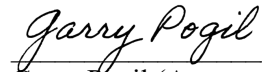
Complainants then falsely claim on page 4 of their exceptions brief, again as to the same Formula boat, that there was no title to the Formula boat, they then contradict themselves at page 13 (paragraph 8), and say: "Said Salvage Certificate for the Formula which is referenced above lists Car Express as the purchaser..." As the Initial Decision found on June 17, 2016, at paragraph 21 of the findings of fact: "At the request of customers, Car Express purchases

automobiles and boats from auctions and arranges on behalf of that customer for the transportation of the automobile or boat from the United States to a foreign country.”

Complainants make false and unsubstantiated claims, such as of falsifying Bills of Sale/ Auto Auction Invoices, when there is absolutely no evidence that MTL committed or ratified any of these acts.

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Respectfully Submitted,



Garry Pogil (Attorney for Respondents)
1120 Avenue of the Americas, 4th Floor
New York, NY 10036
Tel: 212-626-6825
Fax: 646-349-3468
Email: garry.pogil@gmail.com